Points to remember

- Trading and profit and loss account is a nominal account in nature. It means that while preparing this account, the rule of nominal account is followed.
- On the debit side of trading account, direct expenses and opening stock are shown.
- Direct expenses include the purchase price of goods purchased and all other expenses which are incurred to bring the goods to the business premises or godown and to make these ready for sale.
- On the credit side of trading account direct income, i.e. sales and closing stock are shown.
- On the debit side of profit and loss account, indirect expenses and losses are shown.
- On the credit side of this account, indirect incomes and gains are shown.
- Indirect expenses are those expenses incurred for office, administration and selling and distribution.
- Indirect incomes and gains are the incomes or gains which are not directly related to the operation of business enterprise. For example, interest received on the deposits in the bank.
- Balance sheet is a statement and not an account. On the left side liabilities including capital and on the right side the assets are shown in the balance sheet.
- Assets are the resources owned by a business entity. Liabilities are claims against the business or the amounts owed by business to outsiders and owners.

Self-examination questions



I Multiple choice questions

Choose the correct answer

1. Closing stock is an item of _____.
   (a) Fixed asset (b) Current asset
   (c) Fictitious asset (d) Intangible asset
2. Balance sheet is _____
   (a) An account (b) A statement
   (c) Neither a statement nor an account (d) None of the above
3. Net profit of the business increases the _____
   (a) Drawings (b) Receivables
   (c) Debts (d) Capital
4. Carriage inwards will be shown
   (a) In the trading account (b) In the profit and loss account
   (c) On the liabilities side (d) On the assets side
5. Bank overdraft should be shown
   (a) In the trading account (b) Profit and loss account
   (c) On the liabilities side (d) On the assets side

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